

Cloud Transformation Program

Steering Committee Update

July 10, 2026



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Agenda

- 01** Program Overview
- 02** Retrospective
- 03** Cloud Operating Model Update
- 04** Azure Deep Dive
- 05** Appendix

01

Program Overview

Cloud program at a glance

Progress reporting

Financial – on track

Resource – on track

Timeline – on track

Migrations

- **Critical go-lives:**

- ADP World and Workforce migrated across all environments; both rolling off migration reporting June 22; transitioning to decommission tracking
- Siebel completed production go-live April 20; IBM BAW completed production go-live May 9; myPlaceToday live May 21
- myOnboardingPortal production migration completed on June 18; OneService completed across all client migration waves

- **Migration momentum:**

- 8% of DC4 & DC5 migrated, bringing the overall ADP application landscape to ~16% in cloud
- 104 migrations in progress across the ADP landscape

- **Increasing confidence in Migration Timeline:**

- Conducting quarterly planning for FY27 Q1 with Country Managers and Product Owners. Validating quarter commitments, identifying resource contention, 1 year-out timelines.
- Exploring acceleration of intake / discovery activities to help gain confidence in longer-term timelines; Targeting intake complete Dec '26
- Piloted AI-powered tooling that turns architecture diagrams into working Terraform code; cutting migration effort and accelerating time-to-cloud.

- **Timeline change:**

- Active Directory EMEA production go-live rescheduled to August 31 due to resource constraints and scope of remaining work, including build and migration of approximately 40 domain controllers

Cloud Business Office

- **BAU vs. Cloud Mod:** Refreshing FY27 financial tracking processes with additional granularity
- **CBO Leadership:** Embedding Product POVs and more leading practices into recommendations
- **Project investment credit attestation:** Submitted initial untethered credits in June package after coordination and preparation with AWS, Finance, FinOps, and Procurement

Workforce & Location Strategy

- **Capability ownership:** Validated current-state across ~60 cloud capabilities with GETS, GSO, and four product BUs
- **Location strategy:** Confirmed hub portfolio anchored by command centers in Hyderabad and Porto Alegre; US and Europe leading on strategy and architecture
- **Validation underway:** Pressure-testing directional capability shifts at the parent level with BUs

CCoE and Core Services

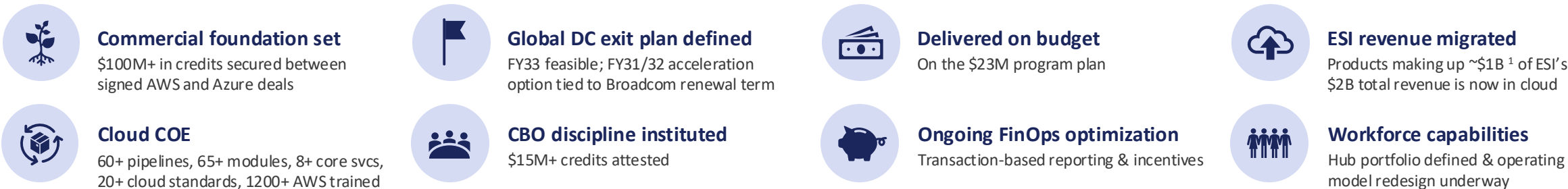
- Launched Azure build program, MVP 1 targeted for end of August to support SBS RUN IPE4 environment, fully production ready Azure landing zone by the end of FY27Q2
- GCP landing zone build progressing, end of August target for non-production project to support the knowledge platform's Gemini feature set
- New OU/SCP & Personas on track for green field (new account) delivery in July
- AWS CMDB feed on track for July delivery
- Infoblox IPAM database now in sync with AWS & Azure to help expedite firewall changes
- AWS Image Factory now in production – AMIs released globally upon GSO approval

02

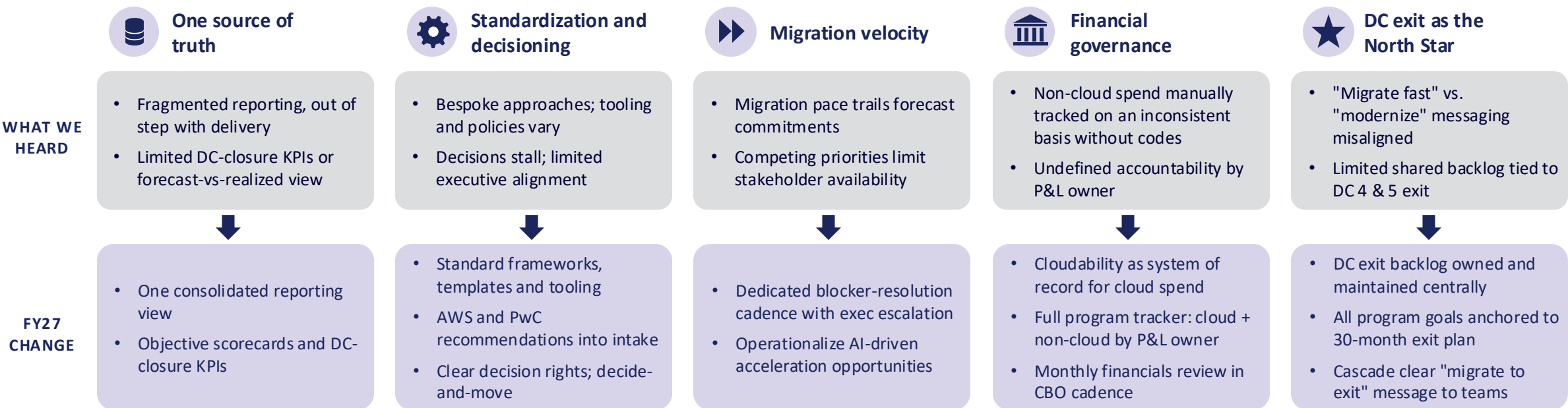
Retrospective

FY26 delivered on plan and budget; FY27 turns on how we run the program

FY26 DELIVERED



FY27 FOCUS AREAS



What else should we be adjusting?

(1) ~\$500M of EMEA revenue in FY26 migrated as part of the program's business case – other \$500M from Celergo, LATAM & APAC predated the program

03

Workforce Update

Cloud changes who owns what, so we validated today's model and designed where it needs to go

The ask

A shared view of who owns what across cloud delivery, today and in the target state

Establish a clear, shared baseline of **cloud capability ownership and delivery** across product, the central platform, the cloud provider, security and risk, and the major shifts as we move to a cloud-first model.

Who we've engaged

GETS Brad Linder, Marcellino Caamano

Product / R&D Michael Collins, Ali Moghul, Vijay Kattavoor, Sindhur Satrasala

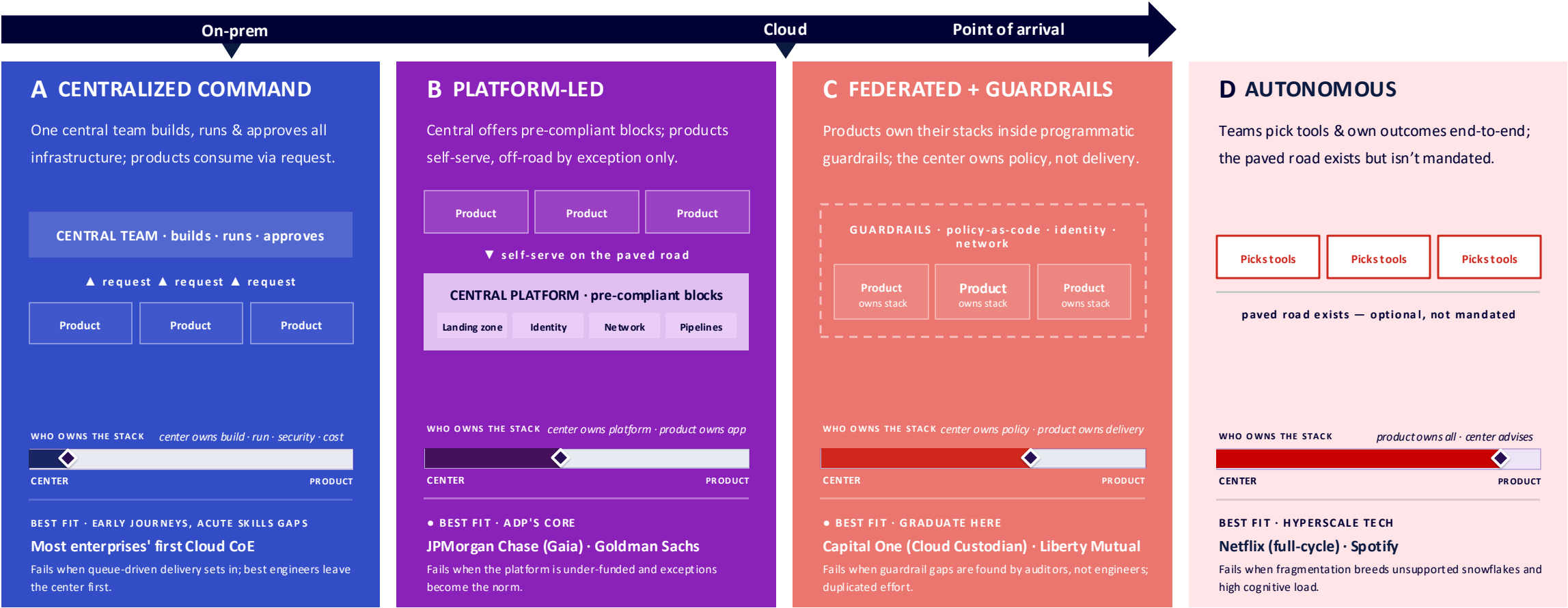
GSO Christopher Olsen, Dustin VanWinkle, James Carter, Rick Ekeland

What we did, and what it produced



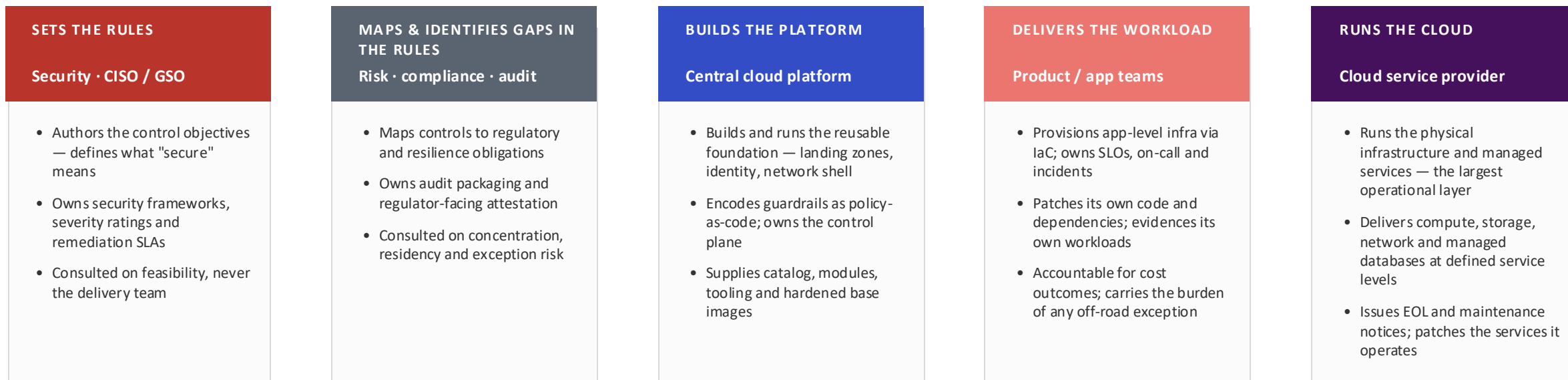
ADP should anchor on a platform-led cloud model, then graduate mature domains to federated guardrails

Common industry operating model archetypes



A platform-led core (B) for the regulated estate, graduating mature product domains to federated-with-guardrails (C) — decided per capability, revisited annually as maturity shifts

The model works only with clear ownership: security and risk set the bar, platform codifies it, products deliver, and CSPs run the infrastructure



THE MODEL IN ONE LINE

Risk and security define and map the rules; the central platform builds them into the foundation; product teams deliver and run their own workloads against the guardrails; and the cloud provider runs the infrastructure beneath it all.

Product owns workload outcomes; the central platform owns the reusable foundation; the cloud provider runs the infrastructure; security and risk set the bar

**Baseline view. Further detail required for operating model design*

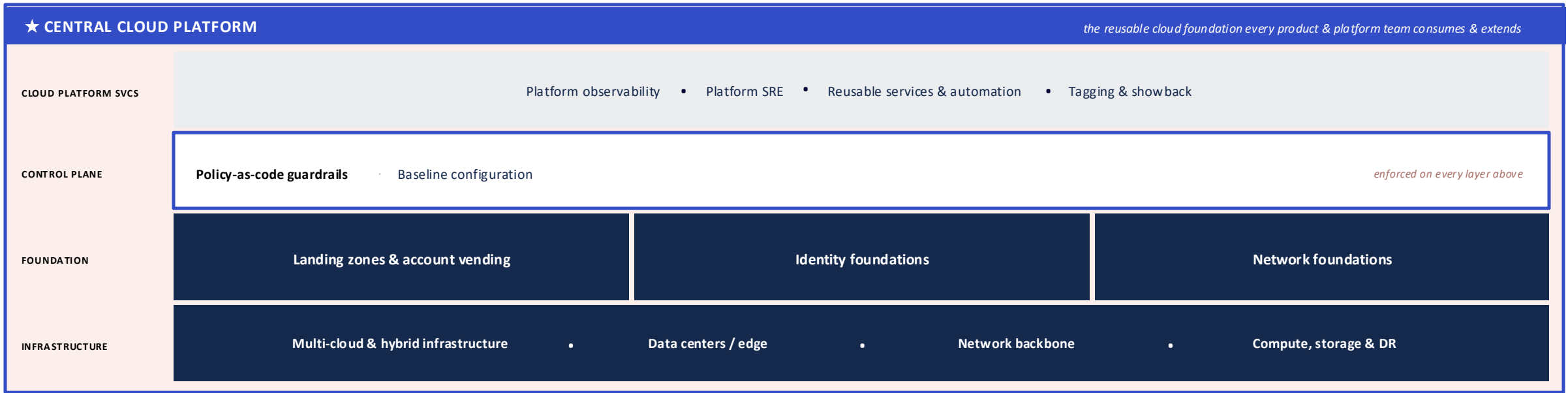
#	CAPABILITY	PRODUCT / APP		CENTRAL CLOUD PLATFORM		CLOUD PROVIDER (CSP)		SECURITY · CISO/GSO		RISK · COMPLIANCE · AUDIT	
1	Cloud strategy & portfolio standards provider strategy, portfolio & tooling standards	C	input on needs	A / R	provider strategy, standards	I	consumes provider services	C	provider security posture	C	concentration, regulatory risk
2	Landing zones & account vending account vending, baseline guardrails	C	account requests	A / R	vending, baseline guardrails	R	provides account / org primitives	C	baseline control reqs	C	regional, regulatory baselines
3	Network & connectivity shared network fabric, DNS, connectivity	R	app-level impl within the shell	A / R	shared fabric, DNS	R	runs backbone, transit, managed DNS	C	segmentation, egress	I	informed
4	Identity & access management identity model, federation, access roles	R	app roles, entitlements	A / R	identity model, federation, PAM	R	provides cloud IAM primitives	R	auth/authz standards	C	access certification, SoD
5	Security control definition control intent, security frameworks	C	feasibility, app context	C	platform enforceability	I	informed	A / R	control intent, frameworks	C	regulatory mapping
6	Guardrail engineering (policy-as-code) policy-as-code, automated enforcement	C	usability feedback	A / R	policy-as-code, enforcement	R	native policy / SCP engines	C	defines control intent	C	control coverage
7	Compliance evidence production workload evidence, audit response	A / R	workload evidence, audit response	R	platform-level evidence	R	shared-responsibility at testations	C	control intent	C	frameworks, attestation
8	Infrastructure provisioning (app-level) app stacks via IaC modules	A / R	app stacks via IaC	C	reusable IaC modules	R	provisions underlying resources	C	secure module baselines	I	informed
9	Reliability engineering (SRE) SLOs, on-call, you-run-it	A / R	SLOs, on-call, you-run-it	R	platform SRE, standards	R	infra-availability SLAs	I	major-incident awareness	C	op-risk policy
10	Observability & incident tooling (infra level) telemetry stack, paging, dashboards	R	instruments own services, defines SLIs / alerts	A / R	telemetry stack, paging	R	native metrics / log sources	C	security telemetry, SIEM	C	log retention reqs
11	FinOps & cost management cost, optimization, consumption	A / R	cost, optimization, consumption	R	tooling, tagging, showback/chargeback	R	billing, rate cards, commitments	I	informed	C	financial controls
12	Exception management (off paved road) drift from the paved road, off-road review	R	case + risk burden	A	reviews & manages drift	I	informed	C	security risk assessment	C	compliance exceptions, residual risk
13	Software patching (app) app code & dependency patches	A / R	app code & dependencies	C	patched base images	I	informed	R / C	scanning, severity, SLAs	I	SLA reporting
14	Infrastructure patching (platform) OS, base images, shared infra	R	base-image updates to pull	A / R	OS, base images, shared infra	R	patches managed services it runs	R / C	scanning, standards	I	SLA reporting



The central cloud platform becomes the shared product layer that lets every portfolio consume and extend the same foundation

Illustrative view — a representative mapping to convey the model

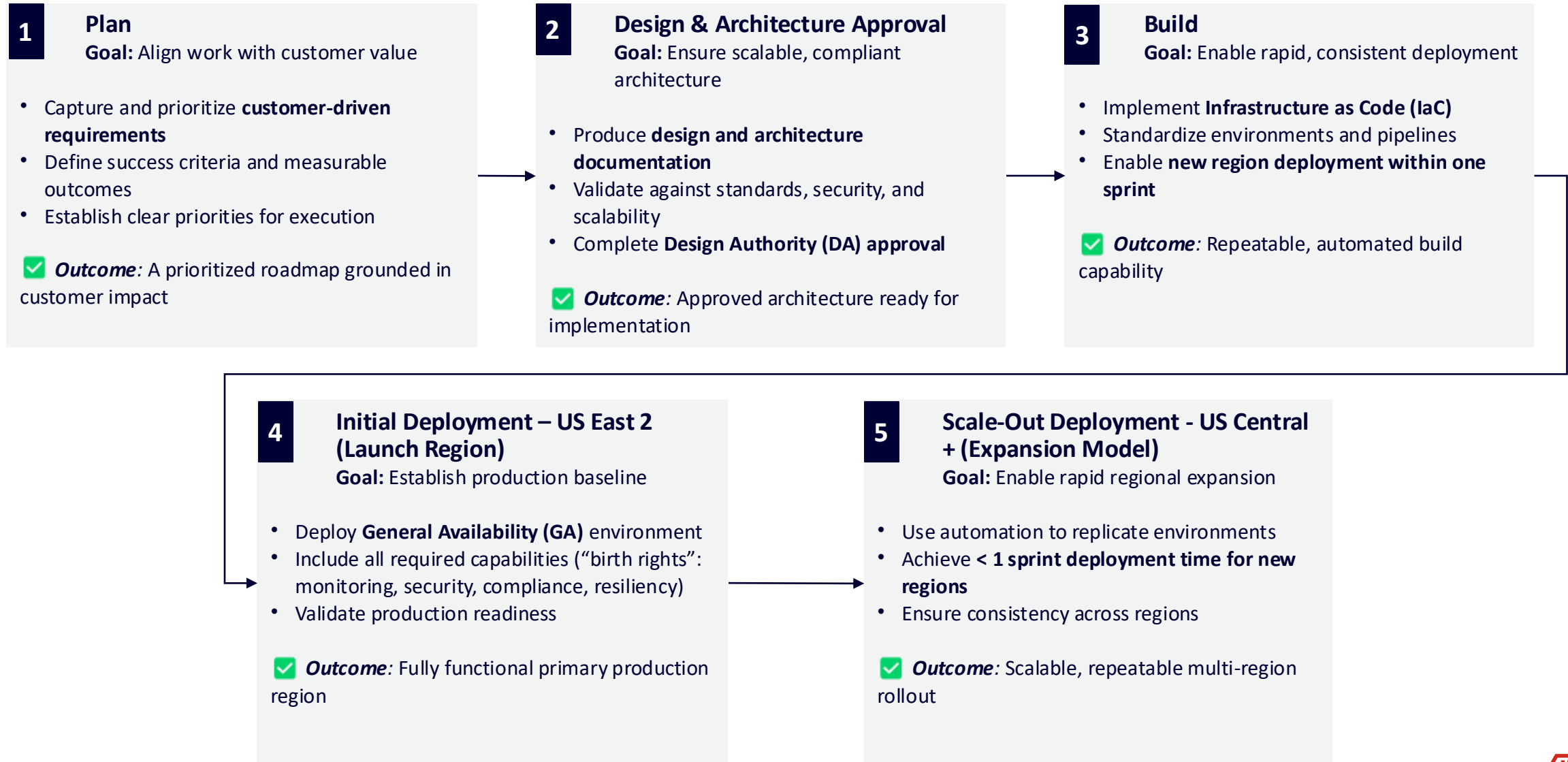
PORTFOLIOS	PEO	Small Business	Major Accounts	International	Complementary Solutions	ES HRO	National Accounts
	TotalSource HR	RUN payroll	Workforce Now HCM	Celergo / GlobalView	Marketplace	Comprehensive Svcs	Vantage / Ent. HCM
PRODUCT / JOURNEY PODS	Benefits & ACA	Onboarding	Talent	Multi-country payroll	Insurance (ADPIA)	Managed payroll / HR	Analytics & reporting
	Risk / workers' comp	Time & attendance	Benefits admin	Local compliance	Retirement	Benefits operations	Benefits
SHARED PRODUCT PLATFORMS	Pay & money movement	Tax filing & compliance	Benefits & insurance admin	Time, scheduling & absence	Talent, recruiting & learning	Data, benchmarking & AI products	
PLATFORM ENGINEERING TEAMS	Developer platform experience service catalog · CI/CD · self-service provisioning		API & integration platform events · APIs · iPaaS	Data & AI platform data lake · ML / feature store · agentic / GenAI	Identity & access platform workforce + client IAM	Security platform AppSec · secrets · threat detection	



04

Azure Deep Dive

Azure Build strategy



SBS RUN Milestone view

Today					
Area	June 26	July 26	August 26	September 26	October 26
IaC Modules / Tooling		▲ July 16: Mongo Design DA approved MSCW 33	▲ Aug 13: Azure bastion MSCW 28-29 ▲ Aug 13: SQL Service license mgmt. solution ▲ Aug 13: Managed Redis MSCW 38	▲ Aug 31: MongoDB IaC Module available MSCW 33	
Image Factory	★ 9/9/24: Windows 2022 image available	▲ June 30: Windows 2025 image available	▲ July 31: Image Factory design DA approved MSCW 43	▲ Aug 31: new Azure images distribution process running	
Managed Backup		▲ July 16: Managed backup design DA Approved MSCW 17		▲ Aug 31: Managed backup Available East 2	★ Sept 24: Managed backup Available US Central
Managed Patching		▲ July 16: Managed patching design DA Approved MSCW 53, 54	▲ July 31: MVP Azure OS patching solution	▲ Sept 17: Azure OS patching solution	
Managed AKS	★ June 11: AKS available for IIPE4 env in East2		▲ July 31: AKS available for DIT env in East2 MSCW 18 - 19		★ Sept 24: AKS available for US Central
Dynatrace, Splunk/Cribl		▲ July 16: Splunk, Dynatrace & Cribl design DA approved MSCW 4, 48, 50, & 52	▲ July 31: Observability strategy DA approved MSCW 2 ▲ July 31: Splunk, Dynatrace & Cribl in East2		★ Sept 24: Splunk, Dynatrace & Cribl in US Central
IAM		▲ July 16: AD Design DA approved MSCW 23-24	▲ July 31: DCs deployed to East2 ▲ July 31: Personas / JIT available in Azure/Self service ▲ Aug 13: Windows/Linux Domain join solution MSCW 22 + 25-27	▲ Aug 31: SBS RUN on new Personas / JIT	★ Sept 17: DCs deployed to US Central
Network		▲ June 30: Azure Network Design approved MSCW 7-16		★ Aug 31: US Central online ★ Aug 31: Phase 1 birth rights	★ Sept 30: All birthrights deployed to Azure in the US MSCW 3

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Appendix

Raid summary (Critical and High)

[ADP Cloud Program Tracker Link](#)

High severity & high visibility - risks, assumption, issues, and decision needs				
Type	Item	Description	Owner	Priority
Risk	PAISY	Firewall issues have been escalated, pushing testing into late July/August and delaying production go-live to October/November 2026. ICMP flows needed for connectivity validation are also not enabled. Additionally, the German business unit needs ~8 weeks of testing, risking further delays to the migration timeline.	Henrik Holle	Critical
Risk	Active Directory Go Live Date	The Active Directory go-live date of June 1, 2026 for the pub.ehc and ehc.adp PROD domains is at risk due to ADP resourcing issues. Robert Souron has been reassigned to non-cloud-related priorities, and ownership of his work must be transitioned to a new team member.	Barrett Bundy	High
Risk	ATC DR Strategy	The SRE team is moving from always-on DR to on-demand provisioning with nightly data sync. Two options were considered: daily EC2 snapshot (more overhead) vs. AWS DRS (more automated). AWS DRS requires a formal exception approval, which is still pending and poses a risk to DR readiness timelines.	Benjamin Desloges Remi Delacotte	High
Risk	InfoBudget Migration Timeline Delays	InfoBudget is currently at risk of not finishing all required non-production environment activities by the June 30 target date	Javier Bierkens	High
Issue	Domain Management	We need an automated toolset to allow for advanced AD operations around configurations required for SQL server and other infrastructure components	Garrett Bundy	High
Issue	CPQ to Oracle ERP Integration Confiuration Issue	A CPQ app used by sales teams is failing to integrate with Oracle ERP via ORDS web services. The issue is blocking POC testing, and an investigation is underway to find a fix.	Dermot Maguire	High



The model works only with clear ownership: security and risk set the bar, platform codifies it, products deliver, and CSPs run the infrastructure

Product / app teams	— Provisioning stand up their own compute, storage & services via IaC self-service, inside guardrails — Run it set SLOs, alert thresholds & who gets paged; on-call for their own services	— Releases & patching ship app code; apply app and OS patches on their own release schedule — On the hook for workload availability, performance, cost — and the audit evidence behind it
Central cloud platform	— Accounts & network vends AWS accounts and landing zones; runs Transit Gateway, VPCs, DNS, Direct Connect — Guardrails ships SCPs, AWS Config rules, golden AMIs and the approved IaC modules	— Identity maintains the IAM baseline, SSO / federation and permission boundaries — Operates central logging & alerting, tagging standards, the service catalog and FinOps tooling
Cloud provider · CSP (AWS)	— Infrastructure operates the data centers, hardware and network backbone; meets the service SLAs — Native security provides IAM, KMS, GuardDuty, CloudWatch and CloudTrail primitives	— Managed services runs and patches RDS, S3, EKS, Lambda; issues end-of-life and deprecation notices — Shared model responsible for security "of" the cloud; ADP is responsible "in" the cloud
Security · CISO / GSO	— Standards authors control objectives for IAM, encryption, segmentation and log retention — Assurance runs security reviews, threat modeling and posture assessments across the estate	— Guardrail owner co-owns and approves the SCPs and enterprise policy with the platform — Defines what "secure" means — not the day-to-day configuration of it
Risk · compliance · audit	— Maps & Identifies SOC 1/2, SOX, ISO and data-residency obligations into concrete control requirements — Evidence specifies what each capability must produce when the auditors arrive	— Resilience sets concentration, exit and recovery criteria — central to the data-center exit — Monitors & escalates surfaces compliance gaps and raises them to the right owners for remediation



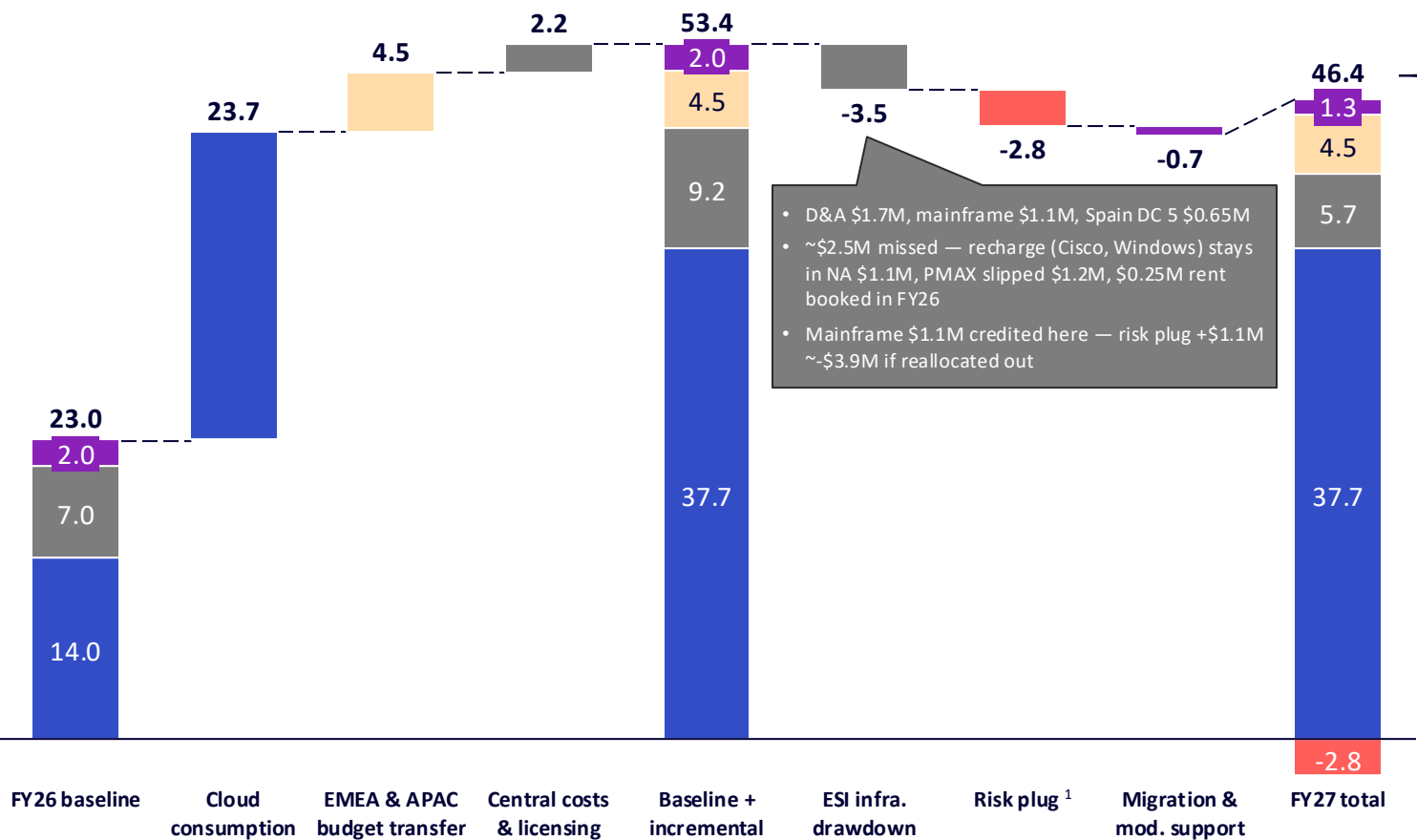
Getting there requires five shifts: automate guardrails centrally, standardize the catalog, and move build/run ownership to products

Guardrails & enforcement	FROM · DATA-CENTER Already exist — via data-center provisioning standards, monitoring, standard images & process controls.	→	TO · CLOUD TARGET Re-expressed as automated, policy-as-code controls in landing zones, pipelines & platform services.	WHAT CHANGES Not a move from zero — ADP enforces controls today. The shift is the medium: from documented process to code that runs continuously, owned centrally.
Service selection	FROM · DATA-CENTER A central standards body approves technologies through long certification cycles.	→	TO · CLOUD TARGET A curated, pre-approved catalog with fast-lane intake — bigger, compliant building blocks.	WHAT CHANGES Approval shifts from a gate to a catalog. Teams move fast on pre-blessed services; the rare new request gets a fast lane, not a committee.
Infrastructure build & run	FROM · DATA-CENTER A central org provisions and operates servers, storage & middleware on request.	→	TO · CLOUD TARGET Product teams' provision via IaC and self-service; infra is part of the application SDLC.	WHAT CHANGES The biggest day-to-day change. Provisioning latency disappears — but teams pick up capacity, patching and run-state they never held. This is the case for strong paved-road tooling.
Reliability / SRE	FROM · DATA-CENTER Central operations and a NOC own incident response for every application.	→	TO · CLOUD TARGET Product teams own SLOs & incidents; a thin central bench supports only platform products.	WHAT CHANGES You build it, you run it. On-call moves to the people who can fix the code; the NOC shrinks to platform-level coordination, not first response.
Control vs. evidence	FROM · DATA-CENTER Conflated — central IT both defined the controls and produced the evidence on the apps' behalf.	→	TO · CLOUD TARGET Split three ways: risk defines · platform encodes · each product evidences its own workloads.	WHAT CHANGES Separating who sets the rule from who proves adherence is what lets product own outcomes without owning policy — and keeps audit honest.

The FY27 Cloud Mod budget rises to ~\$46M as deferred investment returns and migration scales — a ~\$19M increment plus ~\$4M budget transfer

FY27 bridge and composition | \$M

Cloud consumption Central costs & licensing EMEA & APAC budget transfer Migration & mod. support Risk plug



As of FY27 Pass 2 entry

\$46M Cloud Mod budget breakdown

FY27 Cloud Mod totals ~\$46M:
\$23M baseline + \$19M net incremental + \$5M budget transfer

Breakout by cost category

- Migration & mod. support: ~\$1M**
 - Net of AWS PPA and Azure MACC credits
 - Delivery largely partner-funded
- EMEA & APAC budget transfer: ~\$5M**
 - APAC + EMEA baseline shifting into Cloud Mod from BAU
 - Reflects an accounting budget transfer, not new ADP spend
- Central costs & licensing: ~\$6M**
 - Reinstates deferred FY26 platform and security
 - Nets to \$5.7M — \$9.2M gross less the \$3.5M ESI drawdown
- Cloud consumption: ~\$38M**
 - Largest bucket — AWS + Azure, 150+ products ramping
 - Scales toward steady-state as workloads migrate
- Risk plug: ~-\$3M¹**
 - \$2.8M risk plug to be solved for across spend categories
 - \$5M of in-year risk was managed in the FY26 Cloud Mod budget